Payment Networks: Financial Decision Memo

Historical FY2021-2025 | 29 October 2026

Decision. Use this as a historical briefing. Reconcile subsequent filings before a current decision. Investigate reported costs, tax and available liquidity before drawing a funding conclusion.

FY2025 results. Visa revenue: USD40,000m (+11.34%). Operating margin: 59.99% (-5.69pp). Mastercard revenue: USD32,791m (+16.42%). Operating margin: 57.63% (+2.31pp). Visa ends September30; Mastercard ends December31.

Profit and cash. Visa litigation provision rose USD2,100m, accounting for 57.14% of its USD3,675m operating-expense increase. This is an expense attribution, not cash paid. Mastercard tax expense rose USD1,230m. OCF exceeded net income in all five years for each issuer, but that does not establish recurring cash generation.

Network activity. FY2025 purchases were USD14,217bn at Visa (+7.76%) and USD8,799bn at Mastercard (+9.95%). Visa processed transactions grew 10.18%; Mastercard switched transactions grew 10.06%. These counts retain issuer-specific network scopes and are calculated from published annual totals.

Revenue deductions. Visa reported FY2025 client incentives of USD15,751m (+14.44%). Mastercard payment-network assessments less network net revenue give USD20,522m (+16.41%). The Mastercard series uses the reclassified network scope throughout. FY2023 derived USD15,181m differs by USD1m from the narrative due to rounded components. These are revenue deductions, not cash paid.

Sensitivity. Illustration only: Visa revenue growth of 4% and operating margin of 56% give USD23,296m operating income, versus USD23,994m actual. These chosen assumptions are not company guidance or a forecast.

Next review. Reconcile later filings, Visa legal/cost components, Mastercard tax versus cash-tax effects, unrestricted cash, principal maturities and settlement obligations. Carrying debt is not a repayment schedule.

Scope. No calendar or FX normalization, common take-rate, stock recommendation or company safety ranking. Source editions and the Visa FY2021 count revision are documented. All three industry series now cover both issuers for FY2021-2025.

Sources: Visa and Mastercard FY2023/FY2025 annual reports and FY2021/FY2023/FY2025 operational supplements. Exact source URLs, PDF pages, hashes and derivations: references/industry_evidence.json. Statement evidence: reports/11_evidence_index.md.